

wrote.

Back then, he worked for a big firm that counseled individuals on their investments. He had a client he worked with for 10 years whose husband died suddenly. She inherited his stock portfolio, which she moved to Kirby's care. Looking at the portfolio, Kirby wrote:

I was amused to find that [her husband] had been secretly piggybacking our recommendations for his wife's portfolio. Then I looked at the size of the estate. I was also shocked. The husband had applied a small twist of his own to our advice: He paid no attention whatsoever to the sale recommendations. He simply put about \$5,000 in every purchase recommendation. Then he would toss the certificate in his safe-deposit box and forget it.

In doing this, a wonderful thing happened. Yes, it meant his portfolio had a number of broken stocks that came to be worth \$2,000 or so. Small positions. But he also had a few holdings that ended up worth \$100,000 each. The kicker, though, was this: he had one jumbo position of \$800,000 that alone was bigger than the total value of his wife's portfolio. As Kirby wrote, "[It] came from a small commitment in a company called Haloid;

this later turned out to be a zillion shares of Xerox."

That is an inspiring tale, a triumph of lethargy and sloth. It shows clearly how the coffee-can portfolio is designed to protect you against yourself — the obsession with checking stock prices, the frenetic buying and selling, the hand-wringing over the economy and bad news. It forces you to extend your time horizon. You don't put anything in your coffee can you don't think is a good 10-year bet.

Poor Kirby had been diligently managing the wife's account — keeping up with earnings reports, trimming stocks and adding new positions.

All the while, he would have been better off if he'd followed the idler's creed and just stuck with his initial ideas.

Why don't more people hold on?

Phelps wrote that investors have been conditioned to measure stock price performance based on quarterly or annual earnings but not on